

MODULE 3: COMPETITIVE STRATEGY & INNOVATION

Interactive 3-Hour Rhythm

# Session 3.1: Platform Envelopment Attacks

Cross-market feature bundling, overlapping user bases, and Microsoft Teams vs. Slack.

PART 1 (LECTURE)

**60 Minutes**

PART 2 (LAB PRACTICE)

**60 Minutes**

PART 3 (EXECUTIVE MEMO)

**60 Minutes**

STANDARD

**Audited SEC Filings**

# Learning Objectives & Executive Overview

Clear conceptual grounding for undergraduate and graduate business students.

## CORE COMPETENCIES

### Goals

### What You Will Master Today

- **Theoretical Mastery:** Evaluate seminal literature and analytical frameworks governing platform competition.
- **Empirical Rigor:** Reconcile management strategic claims with legally audited statutory filings.
- **Data Modeling:** Execute spreadsheet calculations with explicit coordinates and formula logic.
- **Executive Formulation:** Deliver structured board-level recommendations resolving complex trade-offs.

## ENVELOPMENT THEORY

### Vocabulary

### Key Topical Foundations

- **Eisenmann, Parker, Van Alstyne:** Platform envelopment mechanisms (2011).
- **Shared User Relationships:** Entering adjacent markets using existing customer base.
- **Zero Marginal CAC:** Bundling complementary software into enterprise licenses.
- **Micro-Examples:** Browser wars (Windows/IE), Uber Eats, Apple Pay.

# Theoretical Foundations: Envelopment Theory

Rigorous analytical frameworks and literature benchmarks.

## THEORETICAL ARCHITECTURE

Literature

### Seminal Framework Insights

- **Eisenmann, Parker, Van Alstyne:** Platform envelopment mechanisms (2011).
- **Shared User Relationships:** Entering adjacent markets using existing customer base.
- **Zero Marginal CAC:** Bundling complementary software into enterprise licenses.
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## STRATEGIC APPLICATION

Analysis

### Business Model Mechanics

- **Standalone Leader:** Slack pioneered enterprise collaboration software.
- **Ecosystem Envelopment:** Microsoft bundled Teams into Office 365 for free.
- **Scale Shock:** Teams passed 100M DAUs; Slack S&M intensity stayed >50%.
- **M&A Outcome:** Slack agreed to be acquired by Salesforce for \$27.7B.

## STRATEGIC TAKEAWAY

Cross-market feature bundling, overlapping user bases, and Microsoft Teams vs. Slack.

# Enterprise Case Dissection: Teams vs. Slack

Historical case evidence and multi-year corporate trajectory analysis.

## CORPORATE DYNAMICS

### Timeline

### Market Conditions & Strategic Moves

- **Standalone Leader:** Slack pioneered enterprise collaboration software.
- **Ecosystem Envelopment:** Microsoft bundled Teams into Office 365 for free.
- **Scale Shock:** Teams passed 100M DAUs; Slack S&M intensity stayed >50%.
- **M&A Outcome:** Slack agreed to be acquired by Salesforce for \$27.7B.

## ANALYTICAL FOCUS

### Evidence

### Operational & Financial Findings

- **Comparative Dataset:** Slack Technologies vs. Microsoft Productivity financials.
- **Slack S&M Intensity:** Sales & Marketing / Revenue ( $=D2/C2*100$ ).
- **Microsoft Segment Margin:** Productivity Operating Margin ( $=E5/C5*100$ ).
- **Financial Asymmetry:** Slack S&M was ~50% of revenue while MSFT margin > 40%.

# Lab Dataset & Empirical Metrics: Applied Excel Lab

Reconciling corporate filings with explicit spreadsheet formulas.

## SPREADSHEET MODELING

Lab Spec

### Data Metrics & Formulas

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## MANAGEMENT DILEMMA

Decision Lab

### Strategic Tension

- **CSO Strategic Defense:** Evaluating Slack defensive options in 2018.
- **Three Options:** Product differentiation vs. open alliance vs. sale to platform.
- **Salesforce Justification:** Economic rationale for why selling was the right choice.
- **Executive Memo:** Defensive playbook for standalone software apps.

# Executive Problem Solving: Executive Lab

Framing complex management dilemmas and evaluating corporate trade-offs.

EXECUTIVE CHALLENGE

Dilemma

## Corporate Strategic Tension

- **CSO Strategic Defense:** Evaluating Slack defensive options in 2018.
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EVALUATION RUBRIC

Requirements

## Board-Level Deliverable

- **Actionable Recommendation:** Formulate a concrete 3-bullet decision brief for senior leadership.
- **Quantitative Defense:** Support recommendations using audited financial metrics from the lab spreadsheet.
- **Risk Mitigation:** Address channel friction, partner resistance, or competitive retaliation.
- **Implementation Timeline:** Define immediate 90-day execution milestones.

# Lab Transition: 120-Minute Hands-On Execution

Transitioning from lecture observation to hands-on data manipulation and strategic decision-making.

## EXERCISE 1: FOUNDATIONAL PRACTICE

60 Min Lab

### Applied Excel Lab

Hands-on spreadsheet protocol using audited historical numbers:

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## EXERCISE 2+: ADVANCED PROBLEM SOLVING

60 Min Memo

### Executive Lab

Applied scenario analysis, trade-off evaluation, and executive brief:

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